What's Monetary Sovereignty Worth?

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Katarina Pistor's recent article, *From Territorial to Monetary Sovereignty*,[1] argues forcefully that states' control over their monetary and financial policies is a critical, and generally under-appreciated, component of their sovereignty. She describes this aspect of sovereignty as both "monetary sovereignty" and "financial sovereignty." Although most contemporary accounts of sovereignty focus on territorial integrity, she proposes that "if the question of sovereignty was tied not to effective control over territory and people but to effective control over money, including state and private moneys, most states in this world would fail the test of sovereignty."[2]

According to her account, only states that issue their own currencies can retain such control, "a precondition for 'monetary' sovereignty."[3] But even those states that issue their own currency may effectively cede or lose control over their monetary and financial policymaking to the influence and impacts of private actors and financial markets. This is especially true where the domestic monetary and financial systems can be influenced by international actors and financial markets through, for example, global capital flows or external debt in foreign currencies. Pistor focuses primarily on how constraints on monetary sovereignty limit states' independent powers to respond to systemic financial and economic vulnerabilities, especially during times of crisis when those powers are most necessary.[4] "Every crisis puts to a test the ability of states to rescue the domestic money system without recourse to external help. Some countries can help themselves and others can't. External help always comes with strings attached and constrains autonomous decision making. …. It is an inherently hierarchical system that links

[1] Katharina Pistor, *From Territorial to Monetary Sovereignty*, 18 THEORETICAL INQUIRIES IN LAW, 491 (2017).

[2] *Id.* at 2.

[3] *Id.* at 2.

[4] *Id.* at 4 ("Every crisis puts to a test the ability of states to rescue the domestic money system without recourse to external help. Some countries can help themselves and others can't. External help always comes with strings attached and constrains autonomous decision making.").

assets, intermediaries, and countries in ways that predetermine winners and losers in times of crisis."[5] According to Pistor, only a very few countries "may be deemed sovereign in monetary terms" – the US, the UK, Canada, Japan, Switzerland, Australia, and China.[6]

Through a case study of India, this article tests the scope of Pistor's definition of monetary sovereignty and examines some of the trade-offs that a state must make in either maintaining or ceding it. While India is not among the countries that Pistor identifies as enjoying monetary sovereignty, its circumstances are quite different than the countries she describes as toward the periphery or lower in the hierarchy of the international monetary and financial system. In its first decades of independence, India's economy was insular and controlled, and it would likely have made a list of states enjoying monetary sovereignty. Since the 1990's, the country has embraced a wide range of reforms effectively liberalizing its economy and financial, yet it has deliberately and carefully maintained a significant amount of control over its monetary and financial systems.

While the country has opened its capital account significantly in recent decades, by most conventional measures it still imposes significant de jure and de facto limits on capital flows, both inward and outward. India has relatively little public external debt as a percentage of GDP compared to other states, and over 35% of it is owed in rupees.[7] A large portion of that debt is held in domestic bank accounts payable to non-resident Indians. Relatively little of it is owed to other sovereigns or international financial institutions. Private external debt in India has been steadily increasing since the financial reforms of the 1990's but there is still relatively little in the economy compared to other states. Finally, India's sovereignty over private domestic money creation is quite robust as elements of shadow banking ubiquitous in other jurisdictions are relatively modest there.

This Article argues, therefore, that India currently wields a meaningful quantum of

[5] "[M]onetary and financial systems are hierarchical. States that control their money enjoy power over those that don't. Generally, states enjoy power over private entities that make private money, but sometimes foreign or domestic private entities can effectively drive the monetary behavior of sovereigns." *Id.* at 4.

[6] *Id.* at 4

[7]

monetary sovereignty in the Pistorian sense. If true, this has some implications for Pistor's account. It underscores, for example, that there are degrees of monetary and financial sovereignty. Pistor does not exclude this possibility, yet her account emphasizes the hierarchical nature of monetary and financial systems, in which certain economies enjoy full sovereignty and others, on the periphery, do not. Not only are these states on the periphery vulnerable to exporters of capital in times of crisis, but "[o]nly countries that house intermediaries in the business of exporting money can maintain basic principles of democratic self-governance …."[8] The case of India appears to suggest that there might be a horizontal dimension to monetary sovereignty as well – countries may not enjoy full monetary sovereignty and thus be vulnerable in times of crisis, yet they can reduce the extent of this vulnerability and also maintain a robust degree of democratic self-governance and control over their monetary and financial systems. But at what cost?

Understanding various macroeconomic policies in India as defining the extent of its monetary sovereignty provides a useful frame for evaluating the development of such policies to date and into the future. The direction of policymaking in the country has, across different governments, continued to be one of cautious, managed, and fitful liberalization. Policymakers have viewed such liberalization as a pathway for improving financial markets and increasing economic development in the country, thereby improving social welfare. But it appears they have consistently weighed these benefits against those of maintaining a significant degree of monetary sovereignty, which helps determine the government's ability to manage the country's economy to promote stability and other social goals in the course of integration with the global financial system. In this context, monetary sovereignty is valued only partially because it insulates the country from external factors that may cause or exacerbate financial crises; it is perhaps primarily a crucial component of the country's commitment to exercising a significant degree of central control over its economy and financial system, at least compared to other large modern market-based economies.

In other words, maintaining aspects of monetary and financial sovereignty involves some trade-offs among and between control, stability, and development. On the one hand, the policies

[8] *Id.* at 22.

that give India its degree of monetary sovereignty have been widely credited for enabling the country to weather the global financial crisis better than many other jurisdictions. Yet the policies that support sovereignty in this regard, taken alone or as part of the government's broader approach to the economy, have been at least somewhat controversial among domestic and international observers, and the efficiency or efficacy of each discrete policy and the broader approach is subject to debate. It is possible, for example, that the generally cautious approach of government stewards of the domestic economic and its financial system has unnecessarily slowed the country's growth and development. Maintaining India's degree of monetary and financial sovereignty may have effectively served, for example, to limit the availability of financial resources in the country as well as the potentially disciplining force of external economic and financial assessments.

This Article aims to unearth these trade-offs between financial liberalization and monetary sovereignty by examining a set of policies and practices that are central to both. It will focus on India's management of its capital account; the amount and composition of its public and private external debt; and the extent of domestic private money creation. Such questions are not simply of academic interest. Policymakers in India are currently deliberating, for example, whether to issue the country's first sovereign bonds in a foreign currency in the modern era. Determining whether such a move could meaningfully affect the country's degree of monetary sovereignty provides at least one lens through which to evaluate the factors relevant to the choice of whether to issue these bonds.